

schedule, the Ministry of Civil Aviation (MoCA) had lifted the airfare cap that was in place after the IndiGo December 2025 operational meltdown. High fares have tapered demand.

Fuel used to account for 30–40% of operating expenses before the Gulf conflict. This has now risen to 55–60%. Also, subdued passenger demand growth is affecting profitability.

Domestic traffic grew only around 1.2% in FY26 and declined by around 1.2% YoY in March 2026, while international traffic growth was modest at around 3.9% for the year, according to ICRA.

REPARATIVE MEASURES

Tough times call for tough measures. Domestic airlines are on the road to austerity by postponing increments, cutting costs, and eliminating wastage and leakage. The government has also stepped in to reduce pressure on domestic carriers. It has rolled out a ₹5,000 crore emergency credit line for domestic carriers, allowing them to borrow ₹1,500 crore each with a seven-year tenor and two-year moratorium. Other measures include capping ATF prices on the domestic sector and 25% reduction in parking fees at airports.

Last month, in an appeal to the to the Ministry of Civil Aviation (MoCA), the Federation of Indian Airlines—a grouping of Air India, IndiGo, and SpiceJet—flagged the current ad hoc pricing mechanism for ATF, which is creating a severe imbalance in domestic and international operations and rendering airline networks unviable and unsustainable.

It demanded that the jet

fuel formula be reversed to one with margin bands—with a floor and a ceiling—for what refiners can charge and have the same pricing for domestic as well as international flights of Indian airlines. There was a moderate 5.3% increase in international ATF prices in May.

To support the industry, in April 2026, the MoCA announced a reduction in landing and parking charges for domestic airlines by 25% for three months starting April 2026. There has been a cap on domestic jet fuel prices to ensure that domestic airfares remain sustainable. Dixit says the credit support is a lifeline for the smaller carriers.

ICRA notes that these measures offer partial mitigation against structurally high fuel costs, currency pressures, and disruption related expenses.

A prolonged war could damage the industry growth and act as a death knell for smaller domestic players, leading to further consolidation of aviation market in the country. With the prime minister's alarm bell ringing through the already ailing economy and with other industries echoing that caution, it is only expected that the turbulence will remain, at least in the short term. Airlines operators better fasten their seat belts! **BT**

@richajourno



“The summer schedule [of airlines] has been cut, and after Covid, this is the first time that this capacity is declining”

GAGAN DIXIT
RESEARCHER, ELARA SECURITIES



“Sustained high crude oil prices and a weak rupee continue to pose downside risks to the cost structure of airlines”

KINJAL SHAH
SENIOR VICE PRESIDENT & CO-GROUP HEAD,
CORPORATE RATINGS, ICRA LTD

